

South Korea: Further Surprise Gains in Exports on Strong Chip Exports More Than Offsetting Weak Other Exports

Bottom line:

Korea's headline exports rose 1.8% mom sa in May, extending a 6-month streak of increase. The outcome was stronger than our above-consensus forecast. Tech exports collectively gained 3.1% mom sa, rising for the 9th consecutive month, led by sustained increases in semiconductor exports. Non-tech exports dropped and partially offset the gains. By destination, exports to the US and EM including China continued to rise. Imports gained 1.3%, driven by sustained increases in energy-related imports. The trade surplus (not seasonally adjusted) narrowed to a new historic high of US\$26.9bn from US\$23.8bn the prior month.

Key numbers:

May exports: +53.2% year-on-year; Bloomberg consensus: +49.3%; GS forecast: 50.0%; Previous: +48.0%.

May imports: +20.8% year-on-year; Bloomberg consensus: +21.5%; GS forecast: +20.3%; Previous: +16.7%.

May trade balance: US\$26.9bn; Bloomberg consensus: US\$24.1bn; Previous: US\$23.8bn

Asia-MAP scores:

Exports: +8 (4, +2)

Imports: 0 (3, 0)

Main points:

1. Korea's headline exports rose 1.8% mom sa in May (non-annualized, seasonally adjusted by GS), extending a 6-month streak of increase. In year-on-year terms, growth accelerated further to 53.2% from 48.0% the prior month. The outcome was stronger than our above-consensus forecast.
2. Tech exports collectively gained 3.1% mom sa, rising for the 9th consecutive month, albeit at a moderated pace from 10.5% the previous month. Semiconductor exports sustained a solid momentum of 3.9% ([Exhibit 2](#)), whereas other tech exports fell 4.7%, declining for the first time since June 2025 on weakness from computers, handsets and household appliances. Non-tech exports collectively fell 2.8%, with the pace of decline accelerating slightly further from -1.9% the prior month. Weakness was broad across ships, autos, auto parts, machinery and energy-related products.

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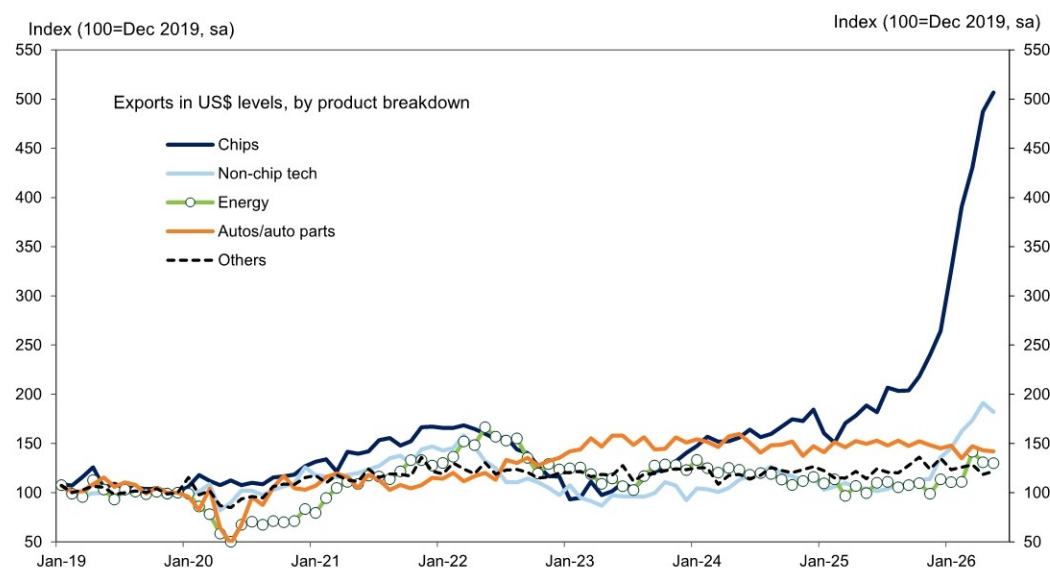
3. Gains were broad across major destinations except those to the EU which dropped 4.2% mom sa ([Exhibit 3](#)). Momentum was the strongest for exports headed to ASEAN, which accelerated to 17.4% and accounted for all the headline sequential increase. Exports to Japan and China also gained robustly, by 6.8% and 5.3% respectively. Exports to the US rose for the 8th consecutive month, at a solid momentum of 3.0%.
4. Imports rose 1.3% mom sa (seasonally adjusted by GS), also slowing from 3.4% the prior month. Energy imports collectively increased 11.3%, sustaining strong momentum after 10.6% the prior month, but the gains were partially offset by a sharper decline in machinery imports, by -5.0%. In year-on-year terms, growth accelerated to 20.8% from 16.7% the prior month, broadly in line with Bloomberg consensus and our forecast. The trade surplus (not seasonally adjusted) widened to a new historical high of US\$26.9bn from US\$23.8bn the prior month.

Exhibit 1: Sustained increases in May exports...

	May-26	Apr-26	Mar-26	Feb-26	Jan-26	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25
Exports growth (% yoy)	53.2	48.0	50.2	29.2	33.9	13.3	7.9	3.5	12.6	1.1	5.7	4.3	(1.3)
(% 3m/3m sa)	18.0	20.9	17.7	14.6	9.1	8.2	5.5	5.6	4.2	5.1	4.1	4.1	(1.1)
(% mom sa)	1.8	2.3	8.9	7.5	3.6	9.4	(2.8)	5.4	2.5	(0.5)	1.7	4.2	(2.5)
Imports - % yoy	20.8	16.7	13.3	7.3	11.6	4.6	1.1	(1.5)	8.3	(4.1)	0.7	3.5	(5.2)
mom% sa	1.3	3.4	1.6	3.3	(0.1)	5.6	(3.9)	0.8	4.2	(1.7)	1.8	3.4	(2.6)
Trade balance - US\$bn	26.9	23.8	26.8	15.7	8.7	12.1	9.5	6.0	9.5	6.4	6.5	9.0	6.9
Memorandum item:													
Non-ship exports % yoy	59.5	48.1	52.5	28.8	35.7	14.1	9.5	(1.2)	12.2	0.5	3.7	2.7	(1.5)
% mom sa	2.2	2.3	8.2	7.9	3.2	8.8	0.7	4.6	2.1	(1.0)	1.7	4.1	(2.7)
Non-ship trade balance - US\$bn	26.9	20.9	23.3	13.5	6.2	9.1	7.6	1.3	6.6	3.3	4.3	6.5	4.7

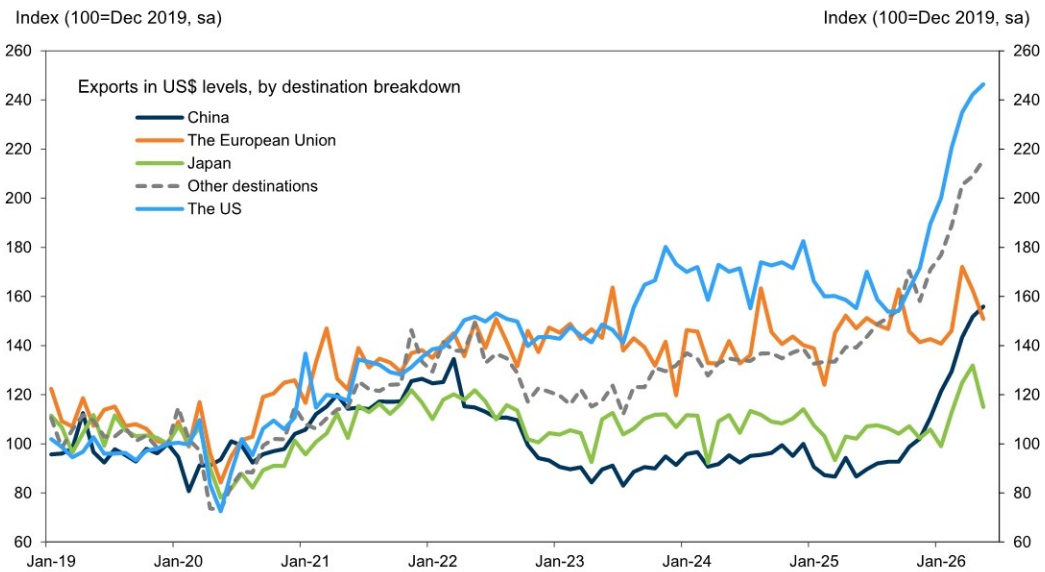
Source: Ministry of Trade, Industry and Resources

Exhibit 2: Sustained increases in semiconductors partially offset by weakness in other exports



Source: Ministry of Trade, Industry and Resources

Exhibit 3: Exports to the US and EM increased further



Source: Ministry of Trade, Industry and Resources

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